Solutions that change from one dimension of complexity to another

Many government offices in India find it difficult to achieve clean toilets. Cleaning the toilets is a transaction-intensive problem, which calls for considerable state capacity in being able to recruit and manage a cleaning crew.

This is a well-defined service function, which does not involve the use of coercive power upon the people, and hence it can be contracted out. Our first impulse might thus be: *Why not replace tenured janitors who do not clean the toilets by a private contractor who will not give tenure to her employees?* This appears to offer gains in one dimension: We are replacing a transaction-intensive function (janitors cleaning) by a small number of transactions (procuring and monitoring the private contractor).

In the process, however, we do run up to larger stakes. A tenured janitor gains about Rs 150,000 a year (her wage) from doing no work. In contrast, a private contractor that undertakes cleaning services for an entire building may be paid Rs 1.5 crore (Rs 15 million) a year. The private contractor now stands to gain a bigger amount by doing no work. The stakes are higher. It now requires a large amount of state capacity, albeit in a different dimension, to ensure the contract goes to the right person, using a fair process, and is adequately monitored.

When PPP was first proposed as a way to improve upon low-quality infrastructure built by government departments, this was hailed as a big step forward. With the benefit of hindsight, we see that PPP contracting is hard, as the stakes are high.

The four hardest problems

The criminal justice system, the judiciary, the tax system and financial regulation suffer from the problem of high discretion, high number of